InCred Equities

Techno-Funda

TIME FRAME: 18-24 MONTHS

06 April 2026

SHILPA MEDICARE

BUY

CMP
Rs **380**

BUY Range
Rs **CMP & 330**

Target Price
Rs **665**

Upside
75%

SL
Rs **300 CB**

Fundamental overview:

Shilpa Medicare Ltd (NSE: SHILPAMED) is a deep value, capital intensive specialty pharma company operating across three verticals — API [53%] (oncology, non-oncology, peptides, CDMO), Finished Dose Formulations (FDF) [37%], and Biologics [10%] (biosimilars and novel biological entities). After having navigated a multi-year capital investment cycle, the focus is now toward asset sweating, execution, and ROCE% maximization, a transition already visible in the financials. The company has undergone a prolonged capital deployment phase, gross block expanded from INR1,538Cr in FY22 to INR 2,087Cr by 9M FY26, with INR 600Cr invested over several years in the Recombinant Human Albumin (rHA) programme alone creating substantial fixed-cost leverage as utilisation improves. The earnings inflection is firmly underway: 9M FY26 revenue reached INR 1,110Cr (up 14% YoY), with Q3 FY26 alone at a record INR 411Cr (up 28% YoY). Gross margins have improved to 71% for 9M FY26 (up 200 bps), while EBITDA margins expanded 300 bps to 29%, driven entirely by operating leverage on a fixed cost base. More significantly, 9M FY26 Adj. PAT of INR 146Cr (+128% YoY) has nearly 1.5x FY25 Adj. PAT of INR 97Cr in just nine months. The key drivers for growth are FDF (EU momentum, NorUDCA ramp), CDMO (10–15 programs annually, first NCE commercialised), and API (₹725 Cr, +17% YoY) in the near term whereas Biologics, Aflibercept, ADC, and rHA (FY28 India launch) are expected to provide long-dated optionality. Adj ROCE% (ex-Biologics and NBE investments) has improved sharply from 3.5% in FY23 to over 17% in 9MFY26. Net debt stands at INR 625Cr (Debt/Equity ~0.26x) with future capex to be funded from internal accruals.

Technical overview:

Shilpa Medicare has broken out above a multi-year descending resistance line from the 2016–2017 peak and has recently come back to retest this zone, holding it as support and bouncing smartly. Volume on the breakout and subsequent defense of support is elevated relative to the prior consolidation, indicating strong institutional participation in the up move. Weekly RSI has rebounded strongly from the mid-40s support band that has repeatedly acted as a bull market floor on this chart and is now rising toward the bullish 60–70 zone. Weekly MACD has just delivered a bullish crossover with the MACD line turning up through the signal line from deeply compressed levels, a typical signature of the start of a new medium term impulse leg. The larger structure shows a completed primary Wave 1 from the long-term base, followed by an orderly Wave 2 correction; the recent low is marked as (2), implying that the stock is in the early stages of a powerful Wave 3 advance, historically the strongest and longest leg in Elliott theory. The Williams Alligator lines have opened their “mouth” upward after a prolonged period of compression, with price trading above all three smoothed moving averages. This configuration signals the end of a corrective sleep phase and the start of a trending “feeding” phase, aligning perfectly with the Elliott count that suggests a fresh impulsive wave.

Chart:

Source:- Tradingview

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